

The AEC Three-Layer Framework

A Complete Working Guide

Prepared for Vayren · AEC Mentorship Program

This guide walks through all three layers of the framework in depth — what each one is, how to find it on a real chart, what to mark, which timeframe to use, and how the three layers work together as confluence before you ever take an entry. Charts shown are illustrative examples built to demonstrate each concept clearly, not live market data or specific trade calls.

LAYER I — THE MOMENTUM ENGINE

Explanation 1 — What It Is

Momentum is the tendency of price to keep moving in the direction it's already moving until something real interrupts it. Layer I exists to answer one question before anything else: which direction is the dominant flow pointing right now? If you can't answer that clearly, you don't have a trade yet — you have a guess.

Explanation 2 — Why Multi-Timeframe Matters

A single timeframe lies to you constantly — a 5-minute chart can look like a strong uptrend while the 4-hour chart it sits inside is actually in a downtrend. Layer I requires at least two timeframes to agree before you trust the direction: a higher timeframe for bias, and a lower timeframe for the actual entry trigger. When they disagree, that's real information — it means wait, not force a trade.

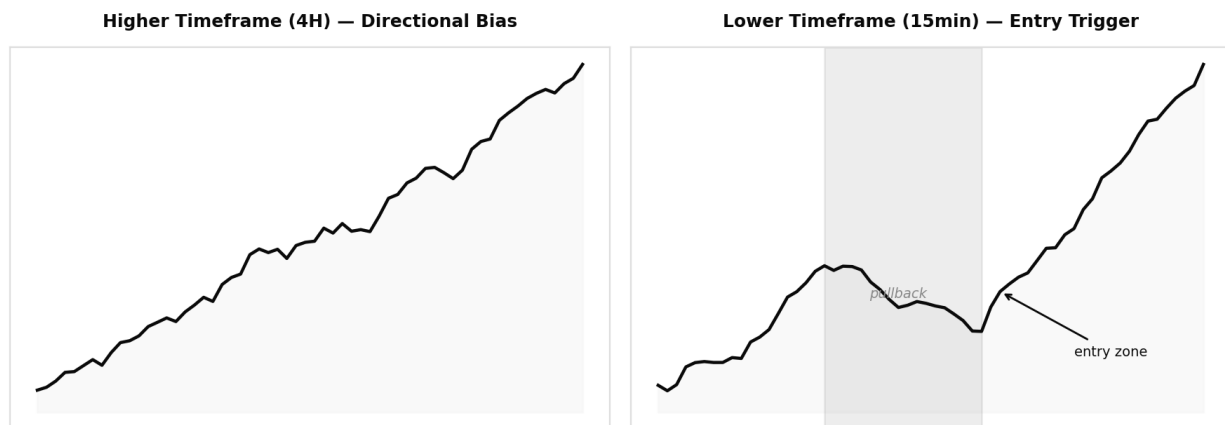


Figure 1 — The 4-hour chart establishes bias. The 15-minute chart shows a pullback inside that same trend, followed by continuation. You only take the 15-minute entry when it agrees with the 4-hour direction — never against it.

HOW TO FIND IT

- ☐ Open your higher timeframe first (4H or Daily) — always establish bias before looking at anything smaller
- ☐ Identify the sequence of highs and lows — higher highs and higher lows means uptrend, the reverse means downtrend

- ☐ Drop down to your lower timeframe (15min or 1H) only after bias is clear
- ☐ Wait for a pullback on the lower timeframe that stays inside the higher timeframe's structure

What to Mark — Higher-High / Higher-Low Structure

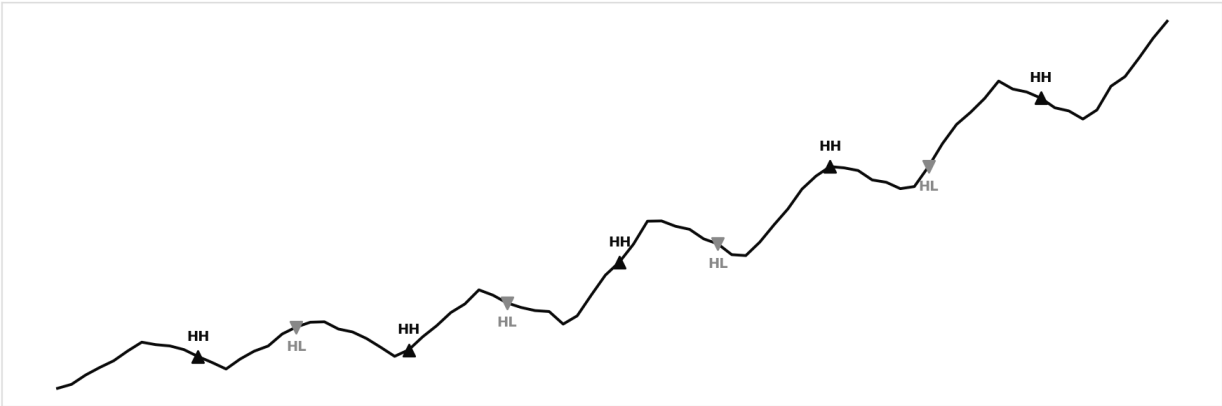


Figure 2 — What to actually mark on your chart: label each swing high and swing low as it forms. HH (higher high) and HL (higher low) confirm an uptrend is intact. The moment you get a lower low instead of a higher low, that's your first warning the structure may be changing.

WHAT TO MARK ON YOUR CHART

- ☐ Every swing high and swing low, labeled HH / HL or LH / LL as they form
- ☐ A trendline connecting the higher lows (uptrend) or lower highs (downtrend)
- ☐ The most recent pullback zone — this is where your Layer III entry timing will eventually happen

TIMEFRAME GUIDANCE

Bias Timeframe	4-Hour or Daily — establishes the dominant direction you're allowed to trade
Entry Timeframe	15-Minute or 1-Hour — where you actually look for the pullback and entry trigger
Rule	Never take a lower-timeframe signal that contradicts the higher-timeframe direction

LAYER II — Z-SCORE STANDARD DEVIATION

Explanation 1 — What It Is

A Z-score measures how far current price sits from its recent statistical average, expressed in standard deviations. A Z-score of 0 means price is right at its average. A Z-score of +2 means price has moved unusually far above its average — statistically stretched. This turns “does this feel overextended” into an actual number instead of a guess.

Explanation 2 — Extension Doesn't Always Mean Reversal

This is the part traders get wrong most often. A stretched Z-score is not an automatic “sell” signal — strong trends can stay statistically extended for a long time. What Layer II actually does is stop you from chasing a move that's already run too far in your direction. Sometimes price simply cools back toward the mean and then continues — it doesn't need to fully reverse for the Z-score lesson to matter.

Z-Score Bands — Identifying Statistical Extension

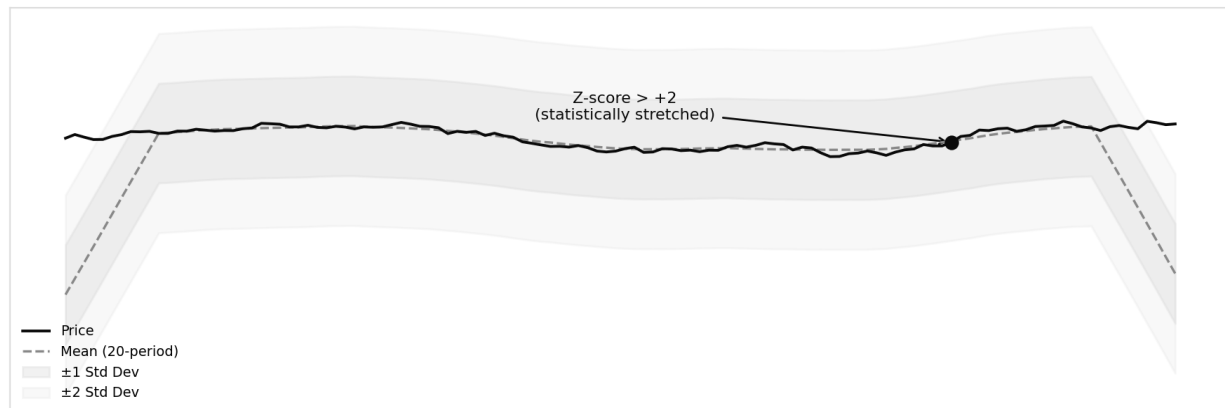


Figure 3 — Price, a rolling mean, and standard deviation bands. When price pushes outside the outer band, it's statistically stretched. That's your cue to stop chasing, not necessarily to fade.

Cooling Off Before Continuation — Not Every Extension Reverses

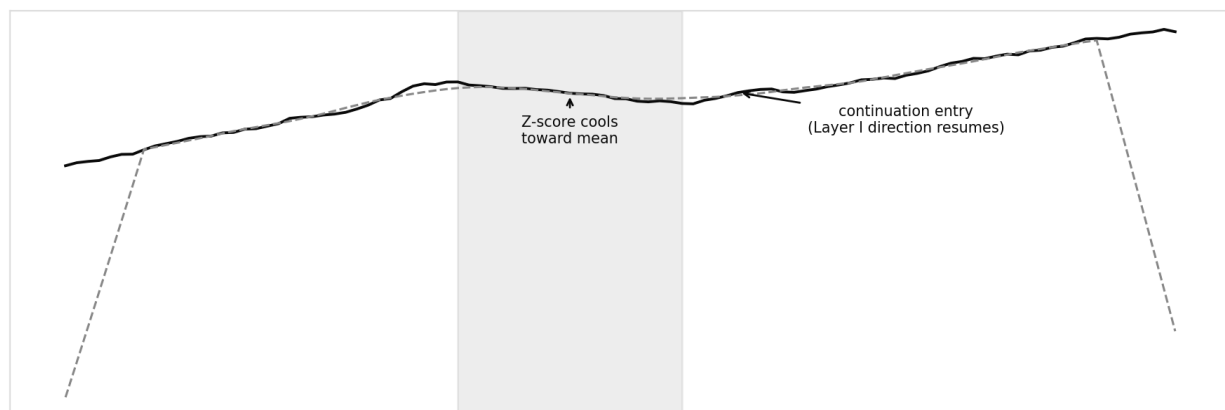


Figure 4 — Price extends, cools back toward the mean without fully reversing, then continues in the original direction. This is the more common pattern in strong trends — patience through the cooling phase, not a full reversal trade.

HOW TO FIND IT

- ☐ Calculate or read a 20-period rolling mean and standard deviation on your entry timeframe
- ☐ Watch for price touching or exceeding the ± 2 standard deviation band
- ☐ Check whether Layer I direction still agrees — an extended move against your bias is not your trade

WHAT TO MARK ON YOUR CHART

- ☐ The rolling mean line
- ☐ The ± 1 and ± 2 standard deviation bands
- ☐ The specific candle where price first touches or exceeds ± 2 — this is your 'do not chase' marker

TIMEFRAME GUIDANCE

Calculation Timeframe	Same as your Layer I entry timeframe — 15-minute or 1-hour
Lookback Window	20-period rolling mean is standard; shorter windows react faster but noisier
Rule	Never enter fresh in the direction of a move that is already beyond ± 2 — wait for cooling

LAYER III — DOM & ORDER FLOW

Explanation 1 — What It Is

The DOM (Depth of Market) shows resting buy and sell orders at each price level in real time. Order flow is the study of how those orders actually get filled — are buyers aggressively lifting the offer, or are sellers aggressively hitting the bid? This is a more granular read than a candlestick chart alone, and it's what turns a good Layer I + Layer II setup into a precise entry instead of an approximate one.

Explanation 2 — Absorption vs. Exhaustion

Two patterns matter most. **Absorption** is when unusually high volume trades through a level with very little price movement — a large resting order is soaking up aggressive flow without breaking, which often marks real support or resistance. **Exhaustion** is the opposite signal: volume declining while price keeps pushing in one direction, meaning the move is running out of real participation and may be close to turning.

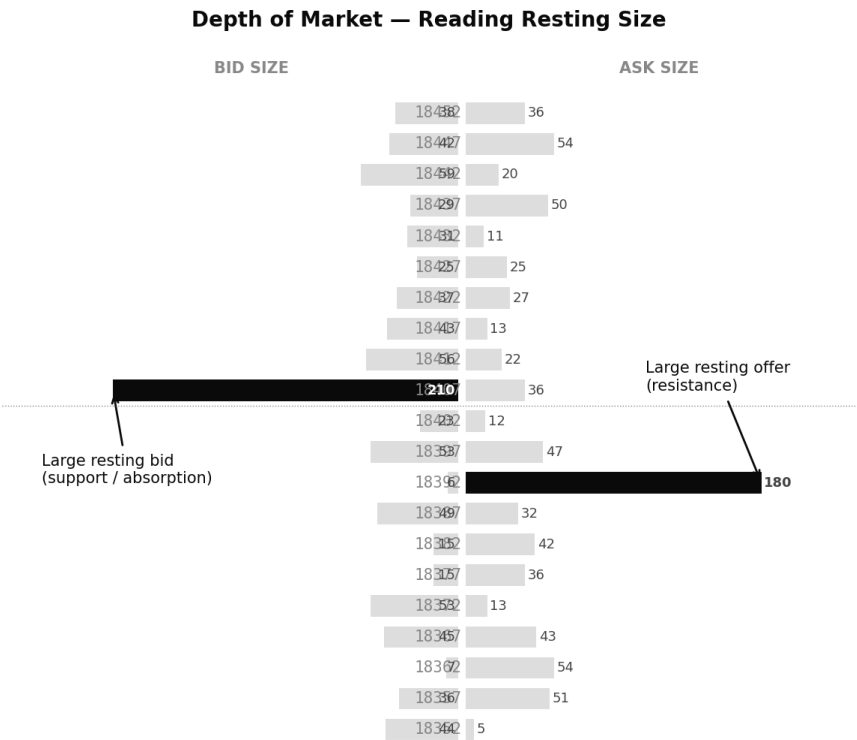


Figure 5 — An illustrative order book. Each row is a price level; the black bars show unusually large resting size on the bid or ask, which can act as a temporary wall price has to work through.

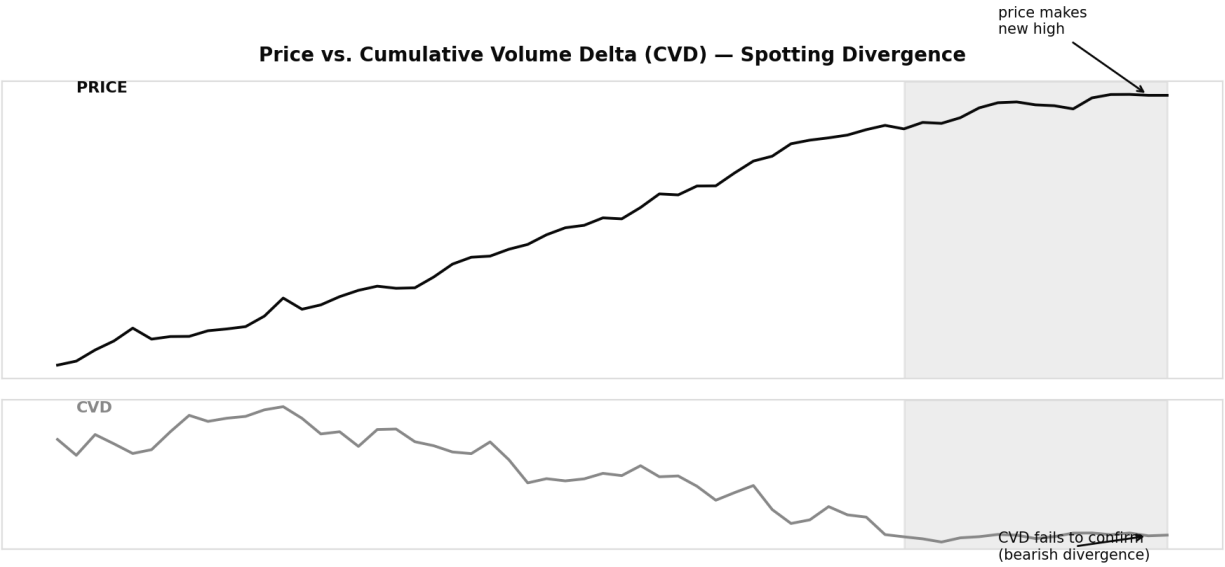


Figure 6 — Price makes a new high while Cumulative Volume Delta (CVD) fails to confirm it — a bearish divergence. Real buying isn't actually driving the new high, which is a warning the move may be running out of genuine support.

HOW TO FIND IT

- ☐ Watch the DOM as price approaches a key level identified from Layer I structure
- ☐ Look for a resting order noticeably larger than the surrounding levels
- ☐ Track CVD alongside price — confirm the two are moving together, not diverging
- ☐ Only use Layer III to time an entry after Layer I and Layer II already agree — it is a timing tool, not a standalone signal

WHAT TO MARK ON YOUR CHART

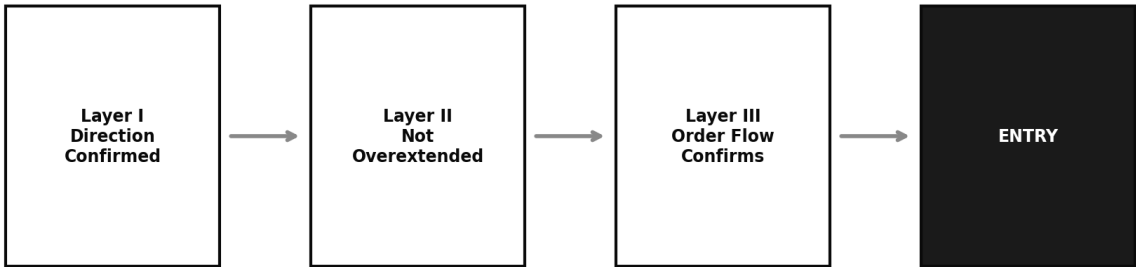
- ☐ Any DOM level with resting size 2-3x the surrounding average
- ☐ The specific point where absorption occurs — high volume, minimal price movement
- ☐ CVD trend line alongside price, flagged wherever the two disagree

TIMEFRAME GUIDANCE

Execution Timeframe	Tick chart or 1-5 minute — this is for precise timing, not direction
Role	Confirms and times the entry that Layer I and II already justified
Rule	Layer III alone is never a reason to trade — it only refines an entry that already has confluence

PUTTING IT ALL TOGETHER — THE CONFLUENCE CHAIN

No single layer is ever a trade by itself. Every entry requires all three layers to agree, in this order:



1. Layer I Confirmed	Higher timeframe and lower timeframe momentum agree on direction. No trade exists yet without this — it's the gate everything else passes through.
2. Layer II Passed	Price is not already extended beyond ± 2 standard deviations against you. If it is, wait for cooling before proceeding, regardless of how good Layer I looks.
3. Layer III Confirms	DOM and order flow support the direction — absorption at the level you expect, CVD confirming rather than diverging, no exhaustion signal against you.
4. Entry	Only once all three agree. If any single layer disagrees, the trade doesn't happen — that discipline is the actual edge, not any one layer alone.

A NOTE ON RISK

Everything in this guide is a tool for building judgment, not a guarantee of any outcome. The charts shown are simplified, illustrative examples — real markets are noisier and less clean than any diagram. All trading involves substantial risk of loss, including the potential loss of your full account balance. Confluence reduces low-quality trades, it does not eliminate risk. Position sizing and risk management remain the foundation everything else in this program is built on.

This material is provided as part of AEC's mentorship program for educational purposes only and does not constitute investment advice. Charts shown are illustrative examples, not live market data or trade recommendations. Past performance is not indicative of future results. All trading involves risk of loss.

Ascenda Enterprise Capital LLC · izaiah@ascendaenterprisecapital.com